

MR CAUTIOUS - Lecture 1

PIZZA BUSINESS - Lecture 2



Pizza Business Lecture Example

•For each event, we will now:

- Identify how **assets** and/or **liabilities** are affected by the event.
- Establish whether there is a **change in equity**, and if so, whether this change represents an item of **income** or **expense**.
- Identify the **accounts** affected by the event.
- Identify whether these accounts **increase** or **decrease**.
- Identify how the event affects the **statement of financial position** and/or **statement of comprehensive income**.



Property, plant and equipment

- Based on its **initial measurement** of R120 000, and its estimated **useful life** of three years, we calculated an annual **depreciation** charge for the pizza oven of R40 000.
- However, if PB expects to **sell** the oven for R45 000 at the end of its useful life, the resulting **depreciation** charge would be R25 000 per year for three years $((R120\ 000 - R45\ 000) \div 3)$.

• $Dep = \frac{120k}{3} = 40k \text{ yearly}$

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$$\frac{120k - 45k}{3}$$